normal contracts anyway and do not need to be mandated by law. This law would have met the same fate as the contract farming provisions in the Model APMC Law, 2003 even if it was not repealed.

Essential Commodities Act, 1955, is an Unnecessary Relic of the Past

ECA-1955 was actually founded in 1939 as part of the Defence of India Rules, which was replaced by the Essential Supplies (Temporary Powers) Act, 1946. The provisions of ECA when enacted in 1955 were similar to the 1946 law.

ECA-1955 conferred powers on the Central government to ‘regulate or prohibit’ ‘production, supply and distribution’ of an ‘essential commodity’ and ‘trade and commerce therein’. These powers were to be exercised for ‘maintaining or increasing supplies of the commodity’, or ‘securing their equitable distribution’ and ‘availability at fair prices’.

ECA-1955 had an extensive list of essential commodities. Clause 2 (a) included foodstuffs, including edible oilseeds and oils, cotton, jute and cattle fodder from the agriculture commodities universe. It also had a number of industrial goods like iron and steel, petroleum products, parts of automobiles, paper and drugs. An omnibus clause authorized the Central government to declare the product of any industry, the control of which has been declared expedient by the Parliament in the public interest, as an essential commodity. Quite a few products like cement and sugar were brought under ECA-1955 using this power.

At one point in the 1980s, as many as seventy commodities were under these control orders. It was a licence-permit, price-control raj at its zenith.

As the industrial economy expanded and shortage of industrial goods disappeared after the 1980s, control orders for most industrial goods were rescinded. In 2006, ECA-1955 was amended to omit Section 2(a), which included the list of essential commodities, to include a new Section 2A to